

The Rajesh Exports Limited Case (2026)

An Academic Case Study on Alleged Financial Statement Fraud, Regulatory Response, and Forensic Approach

Note on status: Every finding below is a prima facie allegation made by SEBI in an interim order, or by other agencies, and the company and its chairman dispute them. No final adjudication has been issued. The case is described as it stood in reports available up to early October 2026.

1. Company Background

Rajesh Exports Limited (REL), founded in 1989 by Rajesh Mehta and his brother, Prashant, is a gold refiner and jeweller that trades on the BSE (531500) and NSE (RAJESHEXPO) and has as its executive chairman, Rajesh. Part of its growth has been through acquisition, notably the 2015 acquisition of the Swiss refiner Valcambi SA for US\$400m-odd, and it also owns Global Gold Refineries AG (GGR) in that overseas subsidiary chain.

REL had come on to the Fortune India 500 rank because of its reported turnover but was worth just about 3,210 crore market capitalisation on 2 June 2026. That discrepancy had baffled market watchers for years. A large number of institutional investors – LIC owned 10.80% (3.19 crore shares) – and retail investors – 14.13% (about 1.94 lakh investors) – owned REL stock.

On 3 June 2026 SEBI imposed 109-page ex parte interim order against REL and Rajesh Mehta. It claimed that ***approximately 15,15,385 crore of consolidated revenue across FY2020-21 to FY2024-25*** was prima facie fictitious – which would be the biggest financial fraud complaint in the history of the Indian securities market. The stock hit back-to-back 5% lower circuits in two trading sessions.

2. How the Alleged Fraud Happened

Unlike the PNB case, this was not a failure of a control inside one branch. SEBI's allegation is that reported numbers were never tested against independent evidence: the consolidated accounts reported enormous revenue, but the entity that actually operated the refinery reported far less.

2.1 The Trigger: A Shareholder Complaint

On 11 March 2024, a shareholder filed a complaint with SEBI that REL had trade receivables dating back over two years that remained unpaid. SEBI initiated formal proceedings in ***October 2024*** and engaged BDO India Services as the forensic auditor. The disclosure was from an external party reading the balance sheet rather than the company's auditor, its audit committee, or its institutional investors.

2.2 The Revenue Gap in the Overseas Subsidiaries

SEBI revealed that between 97-99% of REL's consolidated revenue was derived from a global structure controlled by an overseas subsidiary. It then compared REL's revenue figures that it claimed with the separate audited accounts of Valcambi SA. These are audited under Swiss law by KPMG SA and, on that basis, nearly all (about 99.80%) of REL's claimed subsidiary revenue cannot be substantiated. It also states that reporting of the order that 97-99% of revenue had come from the GGR holding-company, as opposed to the audited operating entity was substantially lower.

2.3 Round-Trip Trades and Fund Movements

SEBI also examined REL's standalone books and the movement of money. The main allegations are summarised below.

Allegation	Amount	What SEBI alleged
Subsidiary revenue not supported	₹15,15,385 crore (FY21–FY25)	About 99.80% of revenue claimed from overseas subsidiaries was prima facie fictitious when compared with audited Valcambi accounts.
Sales and purchases with Affluence Shares and Stocks Pvt. Ltd.	₹11,487 crore sales; ₹11,488 crore purchases (FY22–FY24)	Near-identical sales and purchases with one counterparty, which denied the transactions.
Funds moved to the chairman's accounts	About ₹339 crore (₹232 crore later returned)	Transferred without board authorisation or proper disclosure; reportedly linked to derivatives trading.
Undisclosed related-party flows to Elest Pvt. Ltd.	Net ₹215.85 crore	Net outflow not adequately disclosed as a related-party transaction.
African gold-mining investment	₹1,035.27 crore	Explanation described as vague, unsupported and incapable of verification.

Reports on the order also mention a cross-holding arrangement involving ACC Energy Storage, REL's energy storage subsidiary.

2.4 Obstruction of the Investigation

SEBI has termed the behaviour of the company as 'willful concealment'. It listed at least ten occasions, from June 2025 to March 2026, when it sought information or appearances. REL refused access to its ERP systems, and the journal voucher dump, the only audited record of every accounting entry. Its foreign subsidiaries refused access, invoking **the Swiss Federal Act on Data Protection (FADP)**. REL prevaricated in writing about the movement of money but kept silent on the accounts that the funds moved out of. SEBI claimed the chief executive sat silent while funds moved out of the bank account that was never named. In January 2026, Suresh Gowda told SEBI he was never associated with any subsidiary, and that the subsidiaries were worked on solely by Rajesh Mehta; he was present at board and audit meetings during the period.

2.5 The Failure of Assurance

An India-incorporated company that reported revenue over 200-400 times the market value and almost entirely held offshore was regularised through statutory audit for 5 years. SEBI believed that both the statutory auditors prima facie carried out the misconduct and breach of duty and suggested their referral to the National Financial Reporting Authority (NFRA). The red flags were apparent from information available in the public domain: the gap between consolidated and subsidiary-level revenue, receivables that are of high value, no revenue recognition at the subsidiary level and a wide disparity between turnover and market capitalisation.

3. Has There Been Any Recovery or Resolution?

It is too premature to talk about any recovery in the sense in which the term was used in the PNB case. There is no final order, no penalty imposed and no confirmed loss quantified. The disputed amount is

in the nature of revenue and not cash loss. Investigations are at a very preliminary stage and there are several interim stay orders operating at various levels.

- Securities regulatory action: SEBI banned REL and Mehta and prohibited them from accessing the securities market. It also appointed a special forensic auditor to examine them. A ban on accessing the securities market was issued as well as an order for the company and Mehta to forward the requested documents within 30 days. No penalty has been imposed at this stage.
- Company response: REL said there was no overstatement, but rather a "communication gap". It said SEBI had calculated EBITDA for Valcambi instead of revenue. Mehta later said REL would not appeal against the order, would cooperate with SEBI and that "maybe we have missed out on something", which slightly shock some investors.
- Audit regulator: On 7 July 2026 NFRA Chairperson Nitin Gupta stated that NFRA had initiated the inquiry into the statutory auditors role without providing any timeline.
- Enforcement Directorate On 23 June 2026, the ED raided nine REL offices in Bengaluru and Mumbai under FEMA. The ED accused REL of being absent in terms of records of imports, exports, overseas investments and settlement of foreign receivables and payables. The agency pointed out investments in Africa worth Rs 1,035 crore, foreign trade receivables and payables worth Rs 3,000 crore and purported transfer of Rs 600 crore out of India through shares with the help of NRI benamidars. He said funds were not diverted.
- Market impact: The stock declined in bouts of lower circuits following the order and was reported off approximately 52% over six months by the end of June 2026, which devalued LIC and lakhs of retail shareholders. Opposition leaders asked how could an institution with 10.8% stake overlook it.

The company itself has not fallen in a heap and the forensic audit may or may not corroborate SEBI's interpretation. The reality on the ground is that the allegation is huge, the facts remain elusive and the verdict will come down to documents REL has so far been accused of hiding.

4. If I Had Been Present: My Approach

As a data-focused professional with database experience, I would have worked in three phases: **prevention, detection, and escalation**. The central lesson of this case is that a number in a consolidated statement is only a claim until it is tied to an independent source.

4.1 Prevention — Make Every Reported Number Traceable

Revenue should not be recorded into the books if it could not be linked back to the subsidiary ledger, the client's contract signed by the auditor and the related bank statement. I would insist that the group maintain a write protected audit version of the ERP and journal voucher data, available for the audit committee and regulators to interrogate at any time - not based on the country or the commercial entity where it resides. Tags for intra-group and associated transactions would be added to every transaction - in addition to the usual transaction identifying fields - and money to promoters would have a board resolution created first.

4.2 Detection — Reconcile Claims Against Independent Evidence

I would do these tests quarterly, and you can do all of these tests without the need for any special technology.

- Consolidated-to-standalone reconciliation: Reconcile the revenue of each subsidiary in the consolidated with that of audited subsidiary statutory accounts. There will be a 99.8% difference on first run.
- Revenue-to-cash testing: Compare booked revenue to bank credits, receivable ageing and cash conversion. Revenue that is never collected, as in the shareholder's receivables complaint, is one of the biggest red flags.
- Counterparty round-trip analysis – Flag customers whose sales (purchases) are almost equal to their purchases (sales) (11,487 crore here versus 11,488 crore here), and verify balances directly with the counterparty.
- Graph analytics on related parties: Connect link creators, families, shells, overseas subsidiaries, and derivative-trading account to reveal circular flows like those to Mehta-linked accounts and Elest.
- Related to plausibility ratios and Benford's Law: Revenue to market cap, revenue to employees and assets, and first digit tests on invoice values. A group that generates more than 3 lakh crore a year with a valuation of 3,000 crore should pass basic sanity checks.
- Journal entry tests: Period-end, round-value, manual entries and entered by a Senior User, using the complete journal voucher dump which they indicate was intentionally not provided.

4.3 Escalation and Broader Reflection

Any exception reported would go to an authority independent of the management to make its own judgement rather than wait for the management, which has a vested interest to be in denial of the exceptions being reported. I would mandate a direct escalation to the Chairman of the Audit Committee and the engagement partner of the Statutory Auditors. Where materiality thresholds are crossed, the escalation path would include a mandatory disclosure to the stock exchanges and SEBI. Institutional investors such as LIC have analytics capability and heavy stakes and should run such reconciliations in their role as stewards – not only always depend on audited numbers. It would also matter if there were a protected whistle-blower route for finance personnel, instead of the outside shareholder making the problem public. The lesson here is fraud is easier if one person owns the firm and the book.

5. Conclusion

The Rajesh Exports case is, on SEBI's account, overseas Sub-US, None, No Compensataion, Fact Disputed Original event -reported income untraceable to audited entity, offshore entities refused data provision, roundtrip transactions denied by counterparty, promoter-flows and mountings unnoticeable by auditor or stock companies for 5 years. No loss to recover, fact remains in dispute, each agency is examining a separate layer of the same event. Whatever may be the outcome, the case prescribes independent reconciliation, auditor review of overseas branches/subsidiaries, and related-party

disclosure- as agency controls to be introduced as baseline for each listed company, not post-scram remedial controls once a compliant received.

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